Marchmont Dynamics Ltd

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MASTER SERVICES AGREEMENT

dated 14 May 2024

BETWEEN: (1) Zytglogge Praezisionsinstrumente AG, Nydeggstalden 14, 3011 Bern, Switzerland, UID CHE-114.270.558 MWST ('Client'); and (2) Marchmont Dynamics Ltd, 22 Riverside Business Park, Nottingham NG2 1RT, United Kingdom, company number 08234719 ('Contractor').

1. Definitions and Interpretation

1.1 'Services' means the implementation services described in the Statement of Work at Schedule 1. 1.2 'Deliverables' means the configured enterprise resource planning system and related documentation produced under this Agreement. 1.3 'Go-Live' means the date on which the Deliverables are placed into live production use by the Client. 1.4 'Change Request' has the meaning given in Clause 9.

2. Scope of Services

2.1 The Contractor shall provide the Services described in the Statement of Work (Schedule 1), comprising the design, configuration, testing and deployment of an enterprise resource planning system for the Client's manufacturing operations in Bern (the 'System'), under the internal project name 'Project Compass'. 2.2 The Services shall be performed substantially in accordance with the Project Plan annexed to the Statement of Work. 2.3 The Contractor shall supply, install and configure the on-premise hardware, including a backup appliance, listed in the Statement of Work.

4. Term and Price

4.1 This Agreement commences on the date of signature and continues until final acceptance of the System at Milestone 5, unless terminated earlier under Clause 17, Clause 20a or Clause 23. 4.2 The total price for the Services is GBP 420,000.00, exclusive of value added tax or any equivalent turnover tax, payable in five instalments upon achievement of the milestones set out in Schedule 2. 4.3 Invoices are payable within 30 days of the invoice date.

8. Acceptance Testing

8.1 The Client shall carry out user acceptance testing of the System in accordance with the test plan annexed to the Statement of Work and shall notify the Contractor in writing of its acceptance or rejection of the test results within ten working days of their completion. 8.2 Acceptance shall not be unreasonably withheld or delayed.

9. Change Control

9.1 Either party may propose a change to the scope of the Services by submitting a Change Request in the form at Schedule 3. 9.2 A Change Request takes effect only once signed by an authorised representative of each party, recording any adjustment to price, timeline and impact on the Go-Live date. 9.3 Neither party is obliged to perform work outside the scope of a signed Change Request.

13. Confidentiality

13.1 Each party shall keep confidential the other party's business and technical information disclosed under this Agreement and shall use it only for the purposes of this Agreement.

14. Client Data and Co-operation

14.1 The Client shall deliver to the Contractor a complete and validated extract of its legacy master data no later than the Data Freeze Date fixed in the Project Plan, being 15 September 2025. 14.2 The Contractor shall not be liable for any resulting delay or defect to the extent caused by the Client's failure to deliver conforming data by the Data Freeze Date. 14.3 The Client shall make available suitably qualified staff to support testing and cutover.

15. Intellectual Property

15.1 The Contractor retains all intellectual property rights in its pre-existing software and configuration tools. 15.2 The Client is granted a non-exclusive licence to use the configured System for its internal business purposes.

17. Defects and Remedy Period

17.1 If the System contains a defect that prevents its use for its intended purpose, the Client may give the Contractor written notice specifying the defect and a reasonable period, being not less than ten working days absent urgent circumstances, within which to remedy it. 17.2 If the Contractor fails to remedy the defect within the period so fixed, the Client may exercise its rights under Article 366 and Article 107 of the Swiss Code of Obligations, including withdrawal from this Agreement and restitution of sums paid.

18. Insurance

18.1 The Contractor shall maintain professional indemnity insurance of not less than GBP 2,000,000.00 for the duration of this Agreement.

20. Limitation of Liability

20.1 Except in the case of intentional or grossly negligent conduct, the Contractor's aggregate liability under this Agreement shall not exceed the total price paid under Clause 4.2.

20a. Termination for Convenience

20a.1 The Client may terminate this Agreement at any time before completion of the Services, in which case the Contractor shall be fully indemnified in accordance with Article 377 of the Swiss Code of Obligations.

21. Governing Law, Jurisdiction and Language

21.1 This Agreement is governed by the substantive law of Switzerland, to the exclusion of its conflict-of-law rules and of the United Nations Convention on Contracts for the International Sale of Goods. 21.2 The parties submit to the exclusive jurisdiction of the Commercial Court of the Canton of Bern pursuant to Article 6 paragraph 4 letter c of the Swiss Civil Procedure Code. 21.3 Pursuant to Article 129 paragraph 2 letter b of the Swiss Civil Procedure Code, the parties agree that any proceedings before that court shall be conducted in the English language.

23. Entire Agreement

23.1 This Agreement, together with its Schedules and any signed Change Requests, constitutes the entire agreement between the parties and supersedes the Contractor's Standard Terms and Conditions to the extent of any conflict.

SCHEDULE 1 - STATEMENT OF WORK

Project: 'Project Compass' - implementation of an enterprise resource planning system for the Client's manufacturing site in Bern, comprising Finance, General Ledger, Inventory and Warehouse modules. Phases: Phase 1 Design (June to October 2024); Phase 2 Build (November 2024 to May 2025); Phase 3 Testing and Cutover (June to November 2025). Target Go-Live: late November 2025. Data Freeze Date: 15 September 2025. Hardware: the Contractor shall supply and install one on-premise application server and one backup appliance at the Client's Bern site.

SCHEDULE 2 - PAYMENT SCHEDULE

Milestone	Trigger	% of Price	Amount (GBP)
Milestone 1	Contract signature	15%	63,000.00
Milestone 2	Design phase sign-off	20%	84,000.00
Milestone 3	Build phase completion	25%	105,000.00
Milestone 4	User acceptance testing completion	20%	84,000.00
Milestone 5	Go-Live and final acceptance	20%	84,000.00
	Total	**100%**	**420,000.00**

For the Client:

Zytglogge Praezisionsinstrumente AG
Dr. Markus Fankhauser, Chief Executive Officer
14 May 2024

For the Contractor:

Marchmont Dynamics Ltd
Robert Whitfield, Account Director
14 May 2024